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Financial Accounting Practice Midterm

Part I

① $1.15 Billion

② Payments from customers

- NOT D&A b/c does not change cash balance
- NOT Property Disposal Proceeds b/c that is not a CFO line item (CFI contains disposal proceeds)

③ CFO

- This is different from Dividends Paid, which is a CFF line item

④ Yes, Amazon can finance CapEx using CFO.

Capex (2022) = $139 million

CFO (2022) = $1.149 Billion

Answer would not change under Direct method, which does not actually alter the CFO amount.

⑤ For this transaction, the following entries take place on Nov 1:

Deferred Revenue (L) + 10 million

Cash (A) + 10 million

Note that's on Nov 1, so after 2 months we have the following entries at Dec 31:

Revenue (E, SE) + 4 million

Deferred Revenue (L) − 4 million

(*) Note: Doing this gives us all the answers we need for a, b, c

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a) Higher by 10 million

b) Higher by 6 million

c) Higher by 4 million

(6) W/ Expense (*) correct

I/S	B/S	C/F
NI	PPSE	NI - 25
-25		
NI - 25		CFI

W/ Capitalization (*) Incorrect

I/S	B/S	C/F
NI	PPSE +25	NI
		CFI - 25

a) Overstated

b) Overstated

c) Overstated

d) Understated

(7) a) $\frac{CFO}{Revenues} = \frac{1.149 \text{ billion}}{6.15 \text{ billion}} = \boxed{18.68\%}$

b)

i) A/P ⇓, CFO ⇓

CF margin ⇓

ii) PPSE ⇑, CFI ⇓

CF margin unchanged

iii) Inventory ⇓, CFO ⇑, Revenue ⇑

CF margin increase ⇒ CFO and Revenue ⇑ by the same amount

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Part II

① 2022: 919,335

2021: 829,213

② We use the following template for this question:

Gross A/R (A)

BB 829,213 + 11.2	
Net Sales 6,156,530	Cash collected PLUS Write offs .8
EB 919,335 + 14.1	

Looking for this # !

Need a T account to find this

Allowance for Bad Debt

	11.2	BB
Write-offs PLUS	3.7	Provision
	14.1	EB

Write-offs = (11.2 + 3.7) − 14.1 = .8

Cash collected = BB + Net Sales − EB − Write-off

= 6,056.708 million

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(3)

Initial Amount Receivables

Gross A/R: 829.213
+ 11.2
840.413

Allowance: 14.1

Net income = NI − 3.7
↑ orig. provision

After change

Gross A/R: ↓ 5mm after the initial account write off

Allowance: ~~[illegible]~~

	11.2 BB
WRITE-OFF 5.0	(.002)(6,150,350) Provision
	EB 17.7

Net income: NI − 12.30

a) Lower by 5mm

b) Higher by 3.6mm

c) Lower by 8.6mm

Part III

① 1,044,284 million

② Reserve = $40.3mm

~~[illegible]~~

Reserve = FIFO Inv − LIFO Inv.

LIFO method

Inventory: 1.04 billion

Income Taxes: x

NI: x

FIFO method

Inventory: 1.04 billion + 40.3 million

Income Taxes: x + ((40.3 mm) x .21)

↳ Remember LIFO, FIFO effects COGS, not Revenue

NI: x + (Δ LIFO reserve x (1−t))

a) Higher by 40.3 million
b) Higher by 8.463 million
c) Higher by 8.295 million

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d) Under FIFO, our inventory balances are higher and COGS are lower, which makes company financials appear more attractive.

Part IV

① Gross PP&E: 1,621,194 million

Deprec. Expense: 115.8 million

② Gross PP&E

BB 1,535,021	
Purchases 139,005	Disposals PLUG
EB 1,621,194	

Disposals = BB + Purchases − EB

= 52,832 million

Gross A/R

Net A/R

③ Less D&A:

CFO stays the same, Expenses ↓ so NI ↑, which causes RE ↑ and SE ↑

④ 2021

Salvage value ↑ means Depreciation decreases:

Depreciation = r · (BV − Salvage value) where:

r = rate of depreciation

BV = Book value

2022

Assume no gain on sale,